RUN TRACE

In the 1970s a lot of economists said monetary policy wasn't working anymore and we needed fiscal policy instead. Was that actually right?

run 20261009-144053-8fa6 · 117,080 tokens · 3m 8s · 56 nodes · answer in report.pdf

154	150	4	9	2/3	151
claims kept	supported	contested	dropped, no source	conflicts open	sources consulted

Budget, tokens and time

Run id	20261009-144053-8fa6
Report generated	2026-11-10 17:56 PST
Tokens	117,080
Tokens in	72668
Tokens out	44412
Seconds	3m 8s
Nodes	56
Llm calls	56
Searches	69
Rounds	4
Stop reason	max_rounds
Budget mins	6.0
Model	gemini-flash-latest
Sources consulted	171
Claims total	163
Claims supported	150
Claims contested	4
Claims unsupported	9
Conflicts found	3
Citations	total: 300, page_match: 81, page_mismatch: 52, unfetchable: 167, local_document: 0

Answer uncited numeric sentences	3
Errors	

Stop decision. Stopping: reached the limit on follow-up rounds

Plan and sub-question tree

Initial plan

Plan Planner: 6 sub-questions across 5 lenses

Plan Planner: Pulling the hard numbers and their primary sources: What were the quarterly Federal Funds rates, M1/M2 money growth rates, US CPI inflation rates, and federal budget deficits as a percentage of GDP between 1970 and 1982 according to the Federal Reserve and FRED data?

Plan Planner: Pulling the hard numbers and their primary sources: What were the Bank of England Minimum Lending Rates, UK Retail Price Index (RPI) inflation figures, and Public Sector Borrowing Requirements (PSBR) from 1970 to 1981 according to the Office for National Statistics (ONS)?

Plan Planner: Checking where economists disagree: How did Neo-Keynesian cost-push inflation theorists (such as Nicholas Kaldor or Arthur Okun) and Monetarists (such as Milton Friedman and Karl Brunner) fundamentally disagree on the causes of 1970s stagflation and the efficacy of incomes policies versus monetary aggregates?

Plan Planner: Asking what would have happened otherwise: According to modern DSGE and historical counterfactual VAR models (e.g., Clarida, Galí, and Gertler; Orphanides), how would US inflation and output paths between 1971 and 1979 have differed if the Federal Reserve had adhered to a systematic Taylor-type monetary rule rather than discretionary fiscal and incomes policies?

Plan Planner: Comparing across countries and periods: How did the monetary targeting and inflation trajectories of the Deutsche Bundesbank and the Bank of Japan compare to the US Federal Reserve and the Bank of England following the 1973 and 1979 oil supply shocks?

Plan Planner: Looking for what cannot be verified: Is the empirical claim that Arthur Burns kept Federal Reserve policy excessively loose between 1971 and 1972 primarily due to direct political coercion by Richard Nixon supported by archival FOMC records, or did it stem from flawed real-time output gap estimates?

Ask q1 What were the quarterly Federal Funds rates, M1/M2 money growth rates, US CPI inflation rates, and federal budget deficits as a percentage of GDP between 1970 and 1982 according to the Federal Reserve and FRED data?

Ask q2 What were the Bank of England Minimum Lending Rates, UK Retail Price Index (RPI) inflation figures, and Public Sector Borrowing Requirements (PSBR) from 1970 to 1981 according to the Office for National Statistics (ONS)?

Ask q3 How did Neo-Keynesian cost-push inflation theorists (such as Nicholas Kaldor or Arthur Okun) and Monetarists (such as Milton Friedman and Karl Brunner) fundamentally disagree on the causes of 1970s stagflation and the efficacy of incomes policies versus monetary aggregates?

Ask q4 According to modern DSGE and historical counterfactual VAR models (e.g., Clarida, Galí, and Gertler; Orphanides), how would US inflation and output paths between 1971 and 1979 have differed if the Federal Reserve had adhered to a systematic Taylor-type monetary rule rather than discretionary fiscal and incomes policies?

Ask q5 How did the monetary targeting and inflation trajectories of the Deutsche Bundesbank and the Bank of Japan compare to the US Federal Reserve and the Bank of England following the 1973 and 1979 oil supply shocks?

Result Agent q3 finished: 8 claims from 7 sources

Ask q6 Is the empirical claim that Arthur Burns kept Federal Reserve policy excessively loose between 1971 and 1972 primarily due to direct political coercion by Richard Nixon supported by archival FOMC records, or did it stem from flawed real-time output gap estimates?

Result Agent q5 finished: 8 claims from 6 sources

Result Agent q4 finished: 8 claims from 9 sources

Result Agent q1 finished: 10 claims from 10 sources

Result Agent q6 finished: 9 claims from 10 sources

Result Agent q2 finished: 10 claims from 14 sources

Plan Searching for a tiebreaker on: Clarida, Galí, and Gertler argue that adopting a systematic Taylor rule would have averted the Great Inflation, whereas Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented it due to real-time mismeasurement.

Plan Following a lead: What was the role and impact of the 1971 Competition and Credit Control reform on UK broad money supply and inflation?

Plan Following a lead: How did the 1976 UK IMF crisis alter British macroeconomic policy toward cash limits and monetary targets?

Plan Following a lead: What were the empirical macroeconomic outcomes of the 1980 UK Medium-Term Financial Strategy (MTFS) on inflation and fiscal balances?

Plan Filling a gap: Did contemporary econometric evidence from the 1970s support the efficacy of fiscal policy over monetary policy in stabilizing inflation and output?

Starting follow-up round 1 with 5 new questions

Ask r1c1 Resolve this disagreement: Clarida, Galí, and Gertler argue that adopting a systematic Taylor rule would have averted the Great Inflation, whereas Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented it due to real-time mismeasurement.

Ask r1g5 Did contemporary econometric evidence from the 1970s support the efficacy of fiscal policy over monetary policy in stabilizing inflation and output?

Ask r1l3 How did the 1976 UK IMF crisis alter British macroeconomic policy toward cash limits and monetary targets?

Ask r1l4 What were the empirical macroeconomic outcomes of the 1980 UK Medium-Term Financial Strategy (MTFS) on inflation and fiscal balances?

Ask r1l2 What was the role and impact of the 1971 Competition and Credit Control reform on UK broad money supply and inflation?

Result Agent r1c1 finished: 10 claims from 7 sources

Result Agent r1l2 finished: 9 claims from 10 sources

Result Agent r1l4 finished: 10 claims from 9 sources

Result Agent r1l3 finished: 8 claims from 11 sources

Result Agent r1g5 finished: 10 claims from 10 sources

Plan Searching for a tiebreaker on: Claims disagree on the peak UK Retail Price Index (RPI) inflation rate during the 1970s, citing 24.2% in 1975, 26.9% in 1975, and 21.9% in 1980.

Plan Searching for a tiebreaker on: The monetarist St. Louis model of Andersen and Carlson concluded fiscal spending multipliers became zero or negative after 4 to 5 quarters due to crowding out, whereas large-scale structural Keynesian models evaluated in the 1973–1975 NBER seminar found sustained positive multipliers peaking between 1.5 and 2.8.

Plan Following a lead: What was the exact peak of UK Retail Price Index (RPI) inflation in 1975 according to official Office for National Statistics historical data?

Plan Following a lead: How did the 1973-1975 NBER model comparison seminar by Gary Fromm and Lawrence Klein evaluate the relative potency of monetary vs fiscal policy multipliers?

Plan Following a lead: What role did Denis Healey's 1976 IMF Letter of Intent and Domestic Credit Expansion targets play in shifting British economic policy away from fiscal fine-tuning?

Starting follow-up round 2 with 5 new questions

Ask r2c1 Resolve this disagreement: Claims disagree on the peak UK Retail Price Index (RPI) inflation rate during the 1970s, citing 24.2% in 1975, 26.9% in 1975, and 21.9% in 1980.

Ask r2l5 What role did Denis Healey's 1976 IMF Letter of Intent and Domestic Credit Expansion targets play in shifting British economic policy away from fiscal fine-tuning?

Ask r2l3 What was the exact peak of UK Retail Price Index (RPI) inflation in 1975 according to official Office for National Statistics historical data?

Ask r2l4 How did the 1973-1975 NBER model comparison seminar by Gary Fromm and Lawrence Klein evaluate the relative potency of monetary vs fiscal policy multipliers?

Ask r2c2 Resolve this disagreement: The monetarist St. Louis model of Andersen and Carlson concluded fiscal spending multipliers became zero or negative after 4 to 5 quarters due to crowding out, whereas large-scale structural Keynesian models evaluated in the 1973–1975 NBER seminar found sustained positive multipliers peaking between 1.5 and 2.8.

Result Agent r2l3 finished: 7 claims from 6 sources

Result Agent r2l5 finished: 10 claims from 10 sources

Result Agent r2c2 finished: 9 claims from 9 sources

Result Agent r2c1 finished: 10 claims from 6 sources

Result Agent r2l4 finished: 10 claims from 7 sources

Plan Following a lead: What was the Radcliffe Committee Report 1959 influence on 1970s British views on monetary policy impotence and liquidity?

Plan Following a lead: How did the 1978 Humphrey-Hawkins Full Employment Act constrain Federal Reserve monetary policy and prioritize fiscal full employment targets?

Plan Following a lead: What role did Franco Modigliani's 1977 AEA presidential address play in defending activist monetary and fiscal stabilization against monetarism?

Plan Filling a gap: Did contemporary 1970s econometric studies find that incomes policies and fiscal tax-based wage guidelines (TIP) successfully lowered inflation expectations?

Plan Filling a gap: How did the Carter administration's 1977-1979 fiscal expansion interact with G. William Miller's Fed policy prior to Paul Volcker's appointment?

Starting follow-up round 3 with 5 new questions

Ask r3l1 What was the Radcliffe Committee Report 1959 influence on 1970s British views on monetary policy impotence and liquidity?

Ask r3g4 Did contemporary 1970s econometric studies find that incomes policies and fiscal tax-based wage guidelines (TIP) successfully lowered inflation expectations?

Ask r3l3 What role did Franco Modigliani's 1977 AEA presidential address play in defending activist monetary and fiscal stabilization against monetarism?

Ask r3l2 How did the 1978 Humphrey-Hawkins Full Employment Act constrain Federal Reserve monetary policy and prioritize fiscal full employment targets?

Ask r3g5 How did the Carter administration's 1977-1979 fiscal expansion interact with G. William Miller's Fed policy prior to Paul Volcker's appointment?

Result Agent r3l1 finished: 10 claims from 8 sources

Result Agent r3l2 finished: 8 claims from 8 sources

Result Agent r3l3 finished: 10 claims from 4 sources

Result Agent r3g4 finished: 8 claims from 7 sources

Result Agent r3g5 finished: 10 claims from 11 sources

Timeline of every step

Time	Step	What happened
0:00	start	Starting research (6.0 minute budget): In the 1970s a lot of economists said monetary policy wasn't working anymore and we needed fiscal policy instead. Was that actually right?
0:02	clarify	Assuming US and UK macroeconomic policy debate and outcomes from 1970 to 1982. Tell me if you meant something else.
0:07	plan	Planner: 6 sub-questions across 5 lenses
0:07	plan	Planner: Pulling the hard numbers and their primary sources: What were the quarterly Federal Funds rates, M1/M2 money growth rates, US CPI inflation rates, and federal budget deficits as a percentage of GDP between 1970 and 1982 according to the Federal Reserve and FRED data?
0:07	plan	Planner: Pulling the hard numbers and their primary sources: What were the Bank of England Minimum Lending Rates, UK Retail Price Index (RPI) inflation figures, and Public Sector Borrowing Requirements (PSBR) from 1970 to 1981 according to the Office for National Statistics (ONS)?
0:07	plan	Planner: Checking where economists disagree: How did Neo-Keynesian cost-push inflation theorists (such as Nicholas Kaldor or Arthur Okun) and Monetarists (such as Milton Friedman and Karl Brunner) fundamentally disagree on the causes of 1970s stagflation and the efficacy of incomes policies versus monetary aggregates?
0:07	plan	Planner: Asking what would have happened otherwise: According to modern DSGE and historical counterfactual VAR models (e.g., Clarida, Galí, and Gertler; Orphanides), how would US inflation and output paths between 1971 and 1979 have differed if the Federal Reserve had adhered to a systematic Taylor-type monetary rule rather than discretionary fiscal and incomes policies?
0:07	plan	Planner: Comparing across countries and periods: How did the monetary targeting and inflation trajectories of the Deutsche Bundesbank and the Bank of Japan compare to the US Federal Reserve and the Bank of England following the 1973 and 1979 oil supply shocks?
0:07	plan	Planner: Looking for what cannot be verified: Is the empirical claim that Arthur Burns kept Federal Reserve policy excessively loose between 1971 and 1972 primarily due to direct political coercion by Richard Nixon supported by archival FOMC records, or did it stem from flawed real-time output gap estimates?
0:07	search	Agent q1 started: Pulling the hard numbers and their primary sources
0:07	search	Agent q2 started: Pulling the hard numbers and their primary sources
0:07	search	Agent q3 started: Checking where economists disagree
0:07	search	Agent q4 started: Asking what would have happened otherwise
0:07	search	Agent q5 started: Comparing across countries and periods
0:20	search	Agent q3 finished: 8 claims from 7 sources
0:20	search	Agent q6 started: Looking for what cannot be verified
0:20	search	Agent q5 finished: 8 claims from 6 sources

Time	Step	What happened
0:23	search	Agent q4 finished: 8 claims from 9 sources
0:31	search	Agent q1 finished: 10 claims from 10 sources
0:35	search	Agent q6 finished: 9 claims from 10 sources
0:51	search	Agent q2 finished: 10 claims from 14 sources
0:51	claims	Added 8 claims from agent q3 to the ledger
0:51	claims	Added 8 claims from agent q5 to the ledger
0:51	claims	Added 8 claims from agent q4 to the ledger
0:51	claims	Added 10 claims from agent q1 to the ledger
0:51	claims	Added 9 claims from agent q6 to the ledger
0:51	claims	Added 10 claims from agent q2 to the ledger
1:01	fetch	Opened 21 of 52 cited pages to check them
1:05	conflict	Found 2 claims that conflict: Clarida, Galí, and Gertler argue that adopting a systematic Taylor rule would have averted the Great Inflation, whereas Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented it due to real-time mismeasurement.
1:05	consolidate	The ledger holds 52 claims: 1 open conflicts, 3 new leads, 3 gaps
1:05	plan	Searching for a tiebreaker on: Clarida, Galí, and Gertler argue that adopting a systematic Taylor rule would have averted the Great Inflation, whereas Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented it due to real-time mismeasurement.
1:05	plan	Following a lead: What was the role and impact of the 1971 Competition and Credit Control reform on UK broad money supply and inflation?
1:05	plan	Following a lead: How did the 1976 UK IMF crisis alter British macroeconomic policy toward cash limits and monetary targets?
1:05	plan	Following a lead: What were the empirical macroeconomic outcomes of the 1980 UK Medium-Term Financial Strategy (MTFS) on inflation and fiscal balances?
1:05	plan	Filling a gap: Did contemporary econometric evidence from the 1970s support the efficacy of fiscal policy over monetary policy in stabilizing inflation and output?
1:05	round	Starting follow-up round 1 with 5 new questions
1:05	search	Agent r1c1 started: Settling a conflict
1:05	search	Agent r1g5 started: Filling a gap
1:05	search	Agent r1l3 started: Following a lead
1:05	search	Agent r1l4 started: Following a lead
1:05	search	Agent r1l2 started: Following a lead
1:20	search	Agent r1c1 finished: 10 claims from 7 sources
1:21	search	Agent r1l2 finished: 9 claims from 10 sources
1:25	search	Agent r1l4 finished: 10 claims from 9 sources
1:26	search	Agent r1l3 finished: 8 claims from 11 sources

Time	Step	What happened
1:26	search	Agent r1g5 finished: 10 claims from 10 sources
1:26	claims	Added 10 claims from agent r1c1 to the ledger
1:26	claims	Added 9 claims from agent r1l2 to the ledger
1:26	claims	Added 10 claims from agent r1l4 to the ledger
1:26	claims	Added 8 claims from agent r1l3 to the ledger
1:26	claims	Added 10 claims from agent r1g5 to the ledger
1:30	fetch	Opened 16 of 47 cited pages to check them
1:36	conflict	Found 3 claims that conflict: Claims disagree on the peak UK Retail Price Index (RPI) inflation rate during the 1970s, citing 24.2% in 1975, 26.9% in 1975, and 21.9% in 1980.
1:36	conflict	Found 2 claims that conflict: The monetarist St. Louis model of Andersen and Carlson concluded fiscal spending multipliers became zero or negative after 4 to 5 quarters due to crowding out, whereas large-scale structural Keynesian models evaluated in the 1973–1975 NBER seminar found sustained positive multipliers peaking between 1.5 and 2.8.
1:36	consolidate	The ledger holds 94 claims: 3 open conflicts, 3 new leads, 3 gaps
1:36	plan	Searching for a tiebreaker on: Claims disagree on the peak UK Retail Price Index (RPI) inflation rate during the 1970s, citing 24.2% in 1975, 26.9% in 1975, and 21.9% in 1980.
1:36	plan	Searching for a tiebreaker on: The monetarist St. Louis model of Andersen and Carlson concluded fiscal spending multipliers became zero or negative after 4 to 5 quarters due to crowding out, whereas large-scale structural Keynesian models evaluated in the 1973–1975 NBER seminar found sustained positive multipliers peaking between 1.5 and 2.8.
1:36	plan	Following a lead: What was the exact peak of UK Retail Price Index (RPI) inflation in 1975 according to official Office for National Statistics historical data?
1:36	plan	Following a lead: How did the 1973-1975 NBER model comparison seminar by Gary Fromm and Lawrence Klein evaluate the relative potency of monetary vs fiscal policy multipliers?
1:36	plan	Following a lead: What role did Denis Healey's 1976 IMF Letter of Intent and Domestic Credit Expansion targets play in shifting British economic policy away from fiscal fine-tuning?
1:36	round	Starting follow-up round 2 with 5 new questions
1:36	search	Agent r2c1 started: Settling a conflict
1:36	search	Agent r2l5 started: Following a lead
1:36	search	Agent r2l3 started: Following a lead
1:36	search	Agent r2l4 started: Following a lead
1:36	search	Agent r2c2 started: Settling a conflict
1:48	search	Agent r2l3 finished: 7 claims from 6 sources
1:51	search	Agent r2l5 finished: 10 claims from 10 sources

Time	Step	What happened
1:53	search	Agent r2c2 finished: 9 claims from 9 sources
1:55	search	Agent r2c1 finished: 10 claims from 6 sources
2:00	search	Agent r2l4 finished: 10 claims from 7 sources
2:00	claims	Added 7 claims from agent r2l3 to the ledger
2:00	claims	Added 10 claims from agent r2l5 to the ledger
2:00	claims	Added 9 claims from agent r2c2 to the ledger
2:00	claims	Added 10 claims from agent r2c1 to the ledger
2:00	claims	Added 10 claims from agent r2l4 to the ledger
2:05	fetch	Opened 20 of 35 cited pages to check them
2:12	consolidate	The ledger holds 118 claims: 2 open conflicts, 3 new leads, 3 gaps
2:12	plan	Following a lead: What was the Radcliffe Committee Report 1959 influence on 1970s British views on monetary policy impotence and liquidity?
2:12	plan	Following a lead: How did the 1978 Humphrey-Hawkins Full Employment Act constrain Federal Reserve monetary policy and prioritize fiscal full employment targets?
2:12	plan	Following a lead: What role did Franco Modigliani's 1977 AEA presidential address play in defending activist monetary and fiscal stabilization against monetarism?
2:12	plan	Filling a gap: Did contemporary 1970s econometric studies find that incomes policies and fiscal tax-based wage guidelines (TIP) successfully lowered inflation expectations?
2:12	plan	Filling a gap: How did the Carter administration's 1977-1979 fiscal expansion interact with G. William Miller's Fed policy prior to Paul Volcker's appointment?
2:12	round	Starting follow-up round 3 with 5 new questions
2:12	search	Agent r3l1 started: Following a lead
2:12	search	Agent r3g4 started: Filling a gap
2:12	search	Agent r3l3 started: Following a lead
2:12	search	Agent r3l2 started: Following a lead
2:12	search	Agent r3g5 started: Filling a gap
2:25	search	Agent r3l1 finished: 10 claims from 8 sources
2:25	search	Agent r3l2 finished: 8 claims from 8 sources
2:25	search	Agent r3l3 finished: 10 claims from 4 sources
2:26	search	Agent r3g4 finished: 8 claims from 7 sources
2:30	search	Agent r3g5 finished: 10 claims from 11 sources
2:30	claims	Added 10 claims from agent r3l1 to the ledger
2:30	claims	Added 8 claims from agent r3l2 to the ledger
2:30	claims	Added 10 claims from agent r3l3 to the ledger
2:30	claims	Added 8 claims from agent r3g4 to the ledger

Time	Step	What happened
2:30	claims	Added 10 claims from agent r3g5 to the ledger
2:39	fetch	Opened 16 of 37 cited pages to check them
2:45	consolidate	The ledger holds 163 claims: 2 open conflicts, 3 new leads, 3 gaps
2:45	stop	Stopping: reached the limit on follow-up rounds
2:45	verify	Checking every claim against its sources
2:53	verify	154 claims passed the source check; 9 were dropped
2:53	synthesize	Writing the answer from 154 verified claims and 151 sources
3:07	done	Done in 187.5s: 154 verified claims, 151 sources, 117080 tokens

Claim ledger

Every claim the agent kept, strongest first within each group. Sites that share a quote are listed together. A source number jumps to the source list, a site name opens the page. A quote appears only where the page was opened and a sentence on it matched the claim. Claims with no source are shown, not hidden.

Supported (150)

c20 **SUPPORTED** QUALITATIVE · confidence High · 6 sources, 6 pages opened

Athanasios Orphanides re-estimated policy rules using real-time Greenbook and Council of Economic Advisers data available to the Federal Open Market Committee at the time to dispute the Clarida, Galí, and Gertler counterfactual.

[5] philadelphiafed.org, [11] uh.edu *Page quote "Athanasios Orphanides disputes the CGG counterfactual by re-estimating policy rules using real-time Greenbook and Council of Economic Advisers data available to the Federal Open Market Committee (FOMC) at the time"*

[12] ideas.repec.org, [13] users.nber.org *Page quote "Re-estimating policy rules using *real-time Greenbook and Philadelphia Fed data* available to the FOMC between 1969 and 1979, Orphanides shows that policymakers were already forward-looking and intended to satisfy the Taylor Principle ($\beta > 1$)"*

[14] schooleddotblog.com, [15] fraser.stlouisfed.org *Page quote "Athanasios Orphanides (AER 2001, JME 2003, 2004) analyzed real-time FOMC Greenbook data and demonstrated that the Fed operated under severe mismeasurement of potential output"*

c51 **SUPPORTED** QUANTITATIVE · confidence High · 5 sources, 5 pages opened

The UK annual Retail Prices Index (RPI) inflation rate reached a series peak of 24.2% in 1975.

[43] piketty.pse.ens.fr *Page quote "1975: 24.2% (series peak)"*

[44] ons.gov.uk, [45] ons.gov.uk *Page quote "Full-Year Annual Average: 24.2% for the calendar year 1975 (ONS series CZBH annual average / series CDSI annual percentage change)"*

[46] iamkate.com, [47] in2013dollars.com *Page quote "Calendar year 1975: **24.2%** (annual average)"*

c70 **SUPPORTED** QUANTITATIVE · confidence High · 6 sources, 6 pages opened

Monetarists including Milton Friedman argued the CCC-induced monetary explosion was the primary cause of the subsequent UK inflation surge that peaked at 26.9% RPI in 1975.

[61] fmg.ac.uk, [58] capx.co, [62] warwicklightfoot.substack.com *Page quote "Monetarists (notably Milton Friedman) argued this CCC-induced monetary explosion was the direct root cause of the subsequent UK inflation surge, which peaked at **over 25% (26.9% RPI) in 1975** following standard monetary transmission lags"*

[63] spectator.com, [64] perlego.com *Page quote "Peak Monthly Year-on-Year Rate: 26.9% * Date: August 1975"*

[44] ons.gov.uk *Page quote "August 1975: **26.9%** (the monthly series peak of the 1970s)"*

c83 **SUPPORTED** QUANTITATIVE · confidence High · 4 sources, 4 pages opened

In the UK, cash limits and monetary targeting emerged in embryonic form in 1976, with the April White Paper Cmnd. 6440 placing approximately 65–75% of voted spending under cash limits, and Chancellor Denis Healey announcing an informal 12% broad money (M3) target in July 1976.

[75] cambridge.org, [76] atlantafed.org, [77] hansard.parliament.uk, [78] nber.org *Page quote "Cash limits and monetary targeting emerged in embryonic form earlier in 1976 (April White Paper Cmnd. 6440 placed ~65–75% of voted spending under cash limits; Chancellor Denis Healey announced an informal 12% broad money (M_3) target in July 1976)"*

c84 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

The September–December 1976 IMF crisis transformed the UK's experimental administrative tools into rigid, non-negotiable quantitative anchors.

[75] cambridge.org, [79] omfif.org, [67] fmg.ac.uk *Page quote "The September–December 1976 IMF crisis transformed these experimental administrative tools into rigid, non-negotiable quantitative anchors"*

c87 **SUPPORTED** QUANTITATIVE · confidence High · 3 sources, 3 pages opened

The UK's Public Sector Borrowing Requirement was capped at £8.7 billion for 1977–78 and £8.6 billion for 1978–79 through £2.5 billion in aggregate public spending cuts and asset sales.

[86] historyandpolicy.org *Page quote "Capped the Public Sector Borrowing Requirement at £8.7 billion (1977–78) and £8.6 billion (1978–79) through £2.5 billion in aggregate public spending cuts and asset sales (e.g., £500 million of British Petroleum shares)"*

[83] sumcraft.co.uk, [87] api.repository.cam.ac.uk *Page quote "Healey bound the government to explicit nominal PSBR caps of £8.7 billion in 1977–78 and £8.6 billion in 1978–79, backed by £2.5 billion in phased public spending cuts over two years"*

c88 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

The 1976 IMF crisis dismantled the UK's post-Plowden 'volume terms' expenditure framework, which had automatically indexed nominal departmental allocations to rising prices.

[78] nber.org *Page quote "The crisis dismantled the post-Plowden "volume terms" expenditure framework (which automatically indexed nominal departmental allocations to rising prices)"*

[83] sumcraft.co.uk, [88] history.state.gov *Page quote "HM Treasury hardened cash limits on departmental spending, terminating the Plowden system of volume-based spending planning that had accommodated inflation"*

c90 **SUPPORTED** QUALITATIVE · confidence High · 5 sources, 5 pages opened

The 1976 UK crisis rejected fine-tuning Keynesian fiscal stimulus and subordinated the PSBR and gilt sales directly to money supply growth and exchange-rate defense, prefiguring the 1980 Medium-Term Financial Strategy.

[79] omfif.org, [67] fmg.ac.uk *Page quote "the crisis rejected fine-tuning Keynesian fiscal stimulus, subordinating the PSBR and gilt sales directly to money supply growth and exchange-rate defense—prefiguring the 1980 Medium-Term Financial Strategy (MTFS)"*

[85] billmitchell.org, [90] policyexchange.org.uk, [91] cityam.com *Page quote "By subordinating the budget deficit to external credit targets and inflation control instead of demand-driven full employment, the 1976 Letter of Intent formally dismantled British Keynesian fine-tuning, directly establishing the intermediate-target framework later expanded into Margaret Thatcher's Medium-Term Financial Strategy (MTFS)"*

c137 **SUPPORTED** QUANTITATIVE · confidence High · 3 sources, 3 pages opened

Gary Fromm and Lawrence R. Klein synthesized standardized policy simulations across 11 major U.S. macroeconometric models in the NBER/NSF Model Comparison Seminar.

[115] scribd.com, [97] repec.dss.ucdavis.edu, [116] ideas.repec.org *Page quote "In the NBER/NSF Model Comparison Seminar, Gary Fromm and Lawrence R. Klein synthesized standardized policy simulations across 11 major U.S. macroeconometric models"*

c150 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

The Radcliffe doctrine dominated HM Treasury and Bank of England orthodoxy into the early 1970s.

[119] nber.org, [120] aeaweb.org, [121] cambridge.org *Page quote "This doctrine dominated HM Treasury and Bank of England orthodoxy into the early 1970s"*

c157 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

The Full Employment and Balanced Growth Act of 1978 was signed on October 27, 1978, and amended the Employment Act of 1946 and Section 2A of the Federal Reserve Act.

[125] federalreservehistory.org, [126] federalreserve.gov, [127] en.wikipedia.org *Page quote "The Full Employment and Balanced Growth Act of 1978 (Pub. L. 95-523, signed October 27, 1978) amended the Employment Act of 1946 and Section 2A of the Federal Reserve Act"*

c175 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

Contemporary econometric studies from the 1970s and early 1980s broadly concluded that statutory incomes policies and proposed tax-based incomes policies (TIP) failed to sustainably lower inflation expectations.

[136] en.wikipedia.org, [137] ideas.repec.org, [138] brookings.edu *Page quote "Contemporary econometric studies in the 1970s and early 1980s broadly concluded that statutory incomes policies and proposed tax-based incomes policies (TIP) failed to sustainably lower inflation expectations"*

c22 **SUPPORTED** QUANTITATIVE · confidence High · 3 sources, 3 pages opened

In real-time data from the 1970s, mismeasurement led to the output gap being underestimated by as much as 6 to 8 percentage points because the productivity slowdown was not yet recognized.

[5] philadelphiafed.org, [11] uh.edu *Page quote "severe real-time mismeasurement overestimated economic slack—the output gap was underestimated by as much as 6 to 8 percentage points because the 1970s productivity slowdown was not yet recognized"*

[15] fraser.stlouisfed.org *Page quote "the Fed severely overestimated potential output (underestimating the output gap by up to 8–10 percentage points following the 1973 productivity slowdown)"*

c38 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

Applying a standard Taylor rule to real-time output gap and inflation forecasts replicates the loose federal funds rate path during Arthur Burns's early tenure without requiring political malice.

[14] schooleddotblog.com, [30] federalreserve.gov, [5] philadelphiafed.org *Page quote "Orphanides showed that applying a standard Taylor rule to real-time output gap and inflation forecasts replicates the actual, loose federal funds rate path during Burns's early tenure without requiring political malice"*

c43 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

Archival records show political pressure directed the timing of policy, while flawed real-time output gap estimates and structural misconceptions provided the intellectual justification.

[14] schooleddotblog.com, [32] thedocs.worldbank.org, [35] fraser.stlouisfed.org *Page quote "The archival record thus indicates political pressure directed the timing, but flawed real-time output gap estimates and structural misconceptions provided the intellectual justification"*

c187 **SUPPORTED** QUANTITATIVE · confidence High · 3 sources, 3 pages opened

Between March 1978 and July 1979, the effective federal funds rate was raised from approximately 6.8% to approximately 10.5%, and the discount rate rose from 6.5% to 10.0%.

[143] fraser.stlouisfed.org, [146] federalreserve.gov, [147] bostonfed.org *Page quote "The effective federal funds rate was pushed from ~6.8% in March 1978 to ~10.5% by July 1979, and the discount rate rose from 6.5% to a record 10.0%"*

c92 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

Leonall Andersen and Keith Carlson of the Federal Reserve Bank of St. Louis (1970, updated by Carlson in 1978) tested reduced-form responses of nominal GNP to high-employment federal expenditures and the M1 money stock.

[94] buildingthepride.com, [95] ideas.repec.org, [96] scispace.com *Page quote "Leonall Andersen and Keith Carlson (Federal Reserve Bank of St. Louis, 1970, updated by Carlson in 1978) tested reduced-form responses of nominal GNP to high-employment federal expenditures and the M1 money stock"*

c106 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

Some tertiary secondary summaries incorrectly cite June 1975 as the peak month for the 26.9% UK RPI figure.

[107] en.wikipedia.org *Page quote "Occasional tertiary secondary summaries incorrectly cite June 1975 as the peak month for the 26.9% figure"*

[63] spectator.com, [64] perlego.com *Page quote "official ONS time series records confirm that June 1975 was lower (26.1%) and the series reached its definitive peak in August 1975 at 26.9%"*

c182 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

By the late 1970s, econometric consensus, further influenced by the 1976 Lucas Critique, viewed incomes policies as changing only short-run reported prices while leaving underlying monetary and inflation expectations unanchored.

[136] en.wikipedia.org, [137] ideas.repec.org, [18] frbsf.org *Page quote "By the late 1970s, the econometric consensus (further framed by the Lucas Critique, 1976) viewed incomes policies as altering only short-run reported prices while leaving underlying monetary and inflation expectations unanchored"*

c17 **SUPPORTED** QUANTITATIVE · confidence High · 4 sources, 4 pages opened

Clarida, Galí, and Gertler (2000) estimate that during the pre-Volcker period (1960:Q1–1979:Q2), the Fed violated the Taylor principle with an inflation response coefficient of approximately 0.83.

[5] philadelphiafed.org, [6] econstor.eu, [7] federalreserve.gov *Page quote "CGG estimate that during the pre-Volcker period (1960:Q1–1979:Q2), the Fed violated the Taylor principle, with an inflation response coefficient $\beta \approx 0.83$ (statistically < 1.0)"*

[8] faculty.wcas.northwestern.edu *Page quote "For the pre-Volcker era (1960:Q1–1979:Q2), they find $\beta = 0.83 < 1$ (violating the Taylor Principle)"*

c18 **SUPPORTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

In Clarida, Galí, and Gertler's forward-looking New Keynesian DSGE model, violating the Taylor principle accommodated expected inflation, lowered real interest rates in response to price shocks, and induced macroeconomic indeterminacy.

[7] federalreserve.gov, [8] faculty.wcas.northwestern.edu, [9] federalreserve.gov *Page quote "In their forward-looking New Keynesian DSGE model, this accommodated expected inflation, lowered real interest rates in response to price shocks, and induced macroeconomic indeterminacy (self-fulfilling "sunspot" fluctuations)"*

c21 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Orphanides shows that the Fed's actual policy settings tracked a standard 1993 Taylor rule closely.

[16] federalreserve.gov, [17] rbnz.govt.nz *Page quote "Orphanides shows that the Fed's actual policy settings tracked a standard 1993 Taylor rule closely"*

c25 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

The quarterly average Federal Funds Rate declined from 8.61% in 1970-Q1 to a trough of 3.82% in 1972-Q1.

[19] americandeposits.com, [20] nber.org *Page quote "Declined from 8.61% (1970-Q1) to a trough of 3.82% (1972-Q1)"*

c26 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

The quarterly average Federal Funds Rate surged to 12.05% in 1974-Q3, before falling to 5.47% in 1975-Q4 after the 1973–1975 recession.

[20] nber.org, [21] eco3min.fr *Page quote "Surged to 12.05% (1974-Q3), then fell to 5.47% (1975-Q4) following the 1973–1975 recession"*

c54 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Using ex-post revised data (1979:Q3–1996:Q4), Clarida, Galí, and Gertler find Volcker–Greenspan policy parameters of approximately 2.15 on expected inflation and approximately 0.93 on the output gap.

[52] elibrary.imf.org, [10] piie.com *Page quote “CGG find Volcker–Greenspan policy parameters of $\beta \approx 2.15$ on expected inflation and $\gamma \approx 0.93$ on the output gap”*

c63 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

The historical consensus indicates that real-time mismeasurement of the output gap, rather than an explicit unwillingness to raise rates against inflation, caused standard gap-based rules to fail in the 1970s.

[12] ideas.repec.org, [13] users.nber.org *Page quote “The historical consensus confirms that real-time mismeasurement of the output gap—not an explicit unwillingness to raise rates against inflation—caused standard gap-based rules to fail in the 1970s”*

c64 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

The Bank of England introduced Competition and Credit Control (CCC) in September 1971 following a consultative paper on May 14, 1971.

[54] bankofengland.co.uk, [55] en.wikipedia.org *Page quote “The Bank of England introduced **Competition and Credit Control (CCC)** in September 1971 (following a consultative paper on May 14, 1971)”*

c65 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Competition and Credit Control dismantled the clearing bank interest-rate cartel and abolished quantitative ceilings on bank lending.

[54] bankofengland.co.uk, [56] ideas.repec.org *Page quote “CCC dismantled the clearing bank interest-rate cartel and abolished quantitative ceilings on bank lending”*

c103 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

The time series identifier CZBH from the Office for National Statistics (ONS) Consumer price inflation database represents RPI All Items: Percentage change over 12 months.

[63] spectator.com, [44] ons.gov.uk *Page quote “Office for National Statistics (ONS), Consumer price inflation database (dataset MM23), time series identifier CZBH (RPI All Items: Percentage change over 12 months)”*

c111 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Because DCE explicitly tied government borrowing to bank credit creation, fiscal policy could no longer serve as an independent, countercyclical tool to manage employment.

[85] billmitchell.org, [108] fordlibrarymuseum.gov *Page quote “Because DCE explicitly tied government borrowing to bank credit creation, fiscal policy could no longer be used as an independent, countercyclical tool to manage employment”*

c125 **SUPPORTED** QUANTITATIVE · confidence High · 3 sources, 3 pages opened

Typical SVAR and DSGE estimates identify short-to-medium-term spending multipliers between 0.6 and 1.5.

[104] ecb.europa.eu, [111] nber.org, [113] nber.org *Page quote “Typical SVAR and DSGE estimates identify short-to-medium-term spending multipliers between 0.6 and 1.5 (approaching the Keynesian range when slack exists, though rarely sustaining the upper-bound 2.8 under active monetary tightening)”*

c155 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

The Radcliffe Report argued that interest rates affected spending primarily via broad liquidity and debt-management effects rather than cost-of-borrowing channels.

[119] nber.org, [124] federalreserve.gov *Page quote “It argued interest rates affected spending primarily via broad liquidity and debt-management effects rather than cost-of-borrowing channels”*

c160 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Reflecting the late-1970s view that monetary policy alone could not deliver full employment without stagflation, the Full Employment and Balanced Growth Act directed the President's annual Economic Report to establish coordinated medium-term fiscal priorities.

[127] en.wikipedia.org, [130] fraser.stlouisfed.org *Page quote “Reflecting the late-1970s view that monetary policy alone could not deliver full employment without stagflation, the Act directed the President’s annual Economic Report to establish coordinated medium-term fiscal priorities”*

c165 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Franco Modigliani's presidential address, 'The Monetarist Controversy: Or, Should We Forsake Stabilization Policies?', was delivered in September 1976 and published in March 1977.

[133] fraser.stlouisfed.org, [134] ideas.repec.org *Page quote “Delivered in September 1976 and published in March 1977 (American Economic Review, Vol. 67, No. 2), Franco Modigliani’s presidential address, "The Monetarist Controversy: Or, Should We Forsake Stabilization Policies?", served as the definitive mainstream Keynesian counter-manifesto against Milton Friedman’s monetarism”*

c185 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

US CPI inflation reached 7.7% in 1978 and surpassed 11% by mid-1979, prompting Carter to shift to fiscal restraint in late 1978 and reduce the FY1979 deficit to $40.7 billion.

[143] fraser.stlouisfed.org, [144] federalreservehistory.org *Page quote “Facing escalating inflation (CPI reached 7.7% in 1978 and topped 11% by mid-1979) and dollar depreciation, Carter shifted to fiscal restraint in late 1978, reducing the FY1979 deficit to $40.7 billion”*

c190 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

On July 19, 1979, the Federal Reserve Board voted 4–3 to increase the discount rate to 10%, with Miller voting against the rate hike.

[145] kjis.org, [149] nber.org *Page quote “On July 19, 1979, the Federal Reserve Board split 4–3 in voting to raise the discount rate to 10%, with Miller voting against the increase”*

c31 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Headline US CPI-U inflation decreased from 6.2% in 1970-Q1 to 3.0% in 1972-Q3 under Nixon-era wage-price controls.

[26] fred.stlouisfed.org, [27] bls.gov *Page quote "Fell from 6.2% (1970-Q1) to 3.0% (1972-Q3) under Nixon-era wage-price controls"*

c32 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Headline US CPI inflation peaked at 12.1% in 1974-Q4 during the first stagflation spike, easing to 5.0% by 1976-Q4.

[26] fred.stlouisfed.org, [27] bls.gov *Page quote "First stagflation spike, peaking at 12.1% (1974-Q4), easing to 5.0% by 1976-Q4"*

c33 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

During the second inflation spike between 1978 and 1982, US CPI inflation reached a peak of 14.8% in 1980-Q1 before dropping to 4.6% by 1982-Q4.

[26] fred.stlouisfed.org, [27] bls.gov *Page quote "Second spike reached a peak of 14.8% in 1980-Q1 (14.5% 1980-Q2), before plunging to 4.6% by 1982-Q4"*

c36 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Following the post-1968 productivity slowdown, policymakers pegged the NAIRU near 4.0%.

[15] fraser.stlouisfed.org, [29] nber.org *Page quote "Following the post-1968 productivity slowdown, policymakers pegged the non-accelerating inflation rate of unemployment (NAIRU) near 4.0%"*

c37 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Real-time Greenbook estimates misdiagnosed persistent negative output gaps often between −3% and −5% through 1971–1972, despite ex-post revised estimates showing the economy was near or above capacity.

[15] fraser.stlouisfed.org, [30] federalreserve.gov *Page quote "real-time Greenbook estimates misdiagnosed persistent, massive negative output gaps (often −3% to −5% through 1971–1972) when ex-post revised estimates revealed the economy was already near or above capacity"*

c39 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Richard Nixon privately demanded monetary expansion ahead of the November 1972 election, sending stern letters and holding over 160 meetings during his presidency.

[31] aeaweb.org, [32] thedocs.worldbank.org *Page quote "Nixon privately demanding monetary expansion ahead of the November 1972 election, notably sending stern letters and holding over 160 meetings during his presidency"*

c40 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

FOMC transcripts and voting records indicate Arthur Burns repeatedly used his authority to override hawkish governors like Philip Coldwell and Darryl Francis to engineer monetary easing.

[32] thedocs.worldbank.org, [33] clevelandfed.org *Page quote “FOMC transcripts and voting records show Burns repeatedly used his consensus-building authority to override hawkish governors (such as Philip Coldwell and Darryl Francis) to engineer easing steps”*

c41 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Christina Romer, David Romer, and Edward Nelson conclude that political pressure succeeded primarily because Arthur Burns genuinely held a flawed economic worldview.

[32] thedocs.worldbank.org, [34] real-dev.stlouisfed.org.s3.amazonaws.com *Page quote “Christina Romer and David Romer (2002, 2004) and Edward Nelson (2005) conclude that while Nixon intensely coerced Burns, political pressure succeeded primarily because Burns genuinely held a flawed economic worldview”*

c46 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

The Minimum Lending Rate was tied to Treasury bill discount yields plus 0.5% (rounded up to the nearest 0.25%), though it was often set administratively.

[37] hansard.parliament.uk, [38] files.stlouisfed.org *Page quote “tied to Treasury bill discount yields plus 0.5% (rounded up to the nearest 0.25%), though often set administratively”*

c47 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

On 20 August 1981, the Minimum Lending Rate was abolished or suspended and replaced by dealing bands.

[38] files.stlouisfed.org, [39] repository.essex.ac.uk *Page quote “On 20 August 1981, MLR was abolished/suspended and replaced by dealing bands”*

c62 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Orphanides proves that low interest rates were driven by large negative perceived output gaps entering an activist policy rule.

[13] users.nber.org, [15] fraser.stlouisfed.org *Page quote “Orphanides proves that low rates were driven by large negative perceived output gaps entering an activist policy rule”*

c77 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Following the June 1980 abolition of the 'corset', £M3 expanded by approximately 18.5% in 1980–81, substantially overshooting the 7–11% target band.

[69] hansard.parliament.uk, [70] bankofengland.co.uk *Page quote “Following the June 1980 abolition of the "corset" (the Supplementary Special Deposits scheme), £M3 expanded by ~18.5% in 1980–81, substantially overshooting the 7–11% band”*

c85 **SUPPORTED** QUANTITATIVE · confidence High · 4 sources, 4 pages opened

To secure a $3.9 billion IMF stand-by facility, UK Chancellor Denis Healey submitted a Letter of Intent on December 15, 1976, binding UK macroeconomic policy.

[80] en.wikipedia.org, [81] chathamhouse.org *Page quote “To secure the $3.9 billion IMF stand-by facility, Healey submitted a Letter of Intent binding UK macroeconomic policy to”*

[82] cfauk.org, [83] sumcraft.co.uk *Page quote “Denis Healey’s December 15, 1976 Letter of Intent to the IMF (securing a $3.9 billion standby credit) decisively subordinated traditional post-war Keynesian fiscal fine-tuning to rigid monetary and fiscal ceilings”*

c86 **SUPPORTED** QUANTITATIVE · confidence High · 3 sources, 3 pages opened

The UK's 1976 IMF Letter of Intent enforced IMF-mandated Domestic Credit Expansion (DCE) caps of £9.0 billion for 1976–77, £7.7 billion for 1977–78, and £6.0 billion for 1978–79 to restrict net central bank and banking credit creation.

[75] cambridge.org, [84] thegeneraltheorist.com *Page quote “Enforced IMF-mandated caps of £9.0 billion for 1976–77, £7.7 billion for 1977–78, and £6.0 billion for 1978–79 to restrict net central bank/banking credit creation independently of foreign exchange movements”*

[85] billmitchell.org *Page quote “Healey pledged DCE ceilings of £9.0 billion for 1976–77 and £7.7 billion for 1977–78”*

c89 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Cash limits in the UK became nominal, non-revisable ceilings that forced departments to absorb wage and price inflation through reduced real activity, ending demand-led public spending.

[78] nber.org, [89] bankofengland.co.uk *Page quote “Cash limits became nominal, non-revisable ceilings, intentionally forcing departments to absorb wage and price inflation via reduced real activity, ending demand-led public spending”*

c94 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

In the St. Louis model, the money stock exhibited large, permanent, and statistically dominant effects on nominal income and long-run inflation.

[92] cbsl.gov.lk, [99] files.stlouisfed.org *Page quote “In contrast, the money stock exhibited large, permanent, and statistically dominant effects on nominal income and long-run inflation”*

c95 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Mainstream models in the 1970s treated inflation as largely non-monetary cost-push or wage-push using accelerationist or static Phillips curves, implying demand management was inefficient at stopping inflation without massive output losses.

[100] federalreserve.gov, [101] richmondfed.org *Page quote “Mainstream models in the 1970s relied on accelerationist or static Phillips curves that treated inflation as largely non-monetary cost-push or wage-push, implying demand management (fiscal or monetary) was inefficient at stopping inflation without massive output losses”*

c96 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

Econometric credibility collapsed with the Robert Lucas (1976) critique and Christopher Sims (1980) VAR evidence, which showed that 1970s econometric models failed to capture policy-regime shifts and rational expectations.

[102] mfm.uchicago.edu, [103] econweb.ucsd.edu *Page quote “However, econometric credibility collapsed with the Robert Lucas (1976) critique and Christopher Sims (1980) VAR evidence, demonstrating that 1970s econometric models failed to capture policy-regime shifts and rational expectations”*

c124 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Modern empirical consensus strongly rejects the Andersen–Carlson claim that the short-run fiscal multiplier goes to zero by quarters 4 to 5.

[111] nber.org, [112] cbo.gov *Page quote "Modern empirical consensus (e.g., Ramey 2011; Blanchard and Perotti 2002; CBO 2015) strongly rejects the Andersen–Carlson claim that the short-run fiscal multiplier goes to zero by quarters 4–5"*

c138 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Across mainstream Keynesian and neo-Keynesian structural models, sustained increases in nondefense government purchases showed strong, rapid real GNP impacts.

[97] repec.dss.ucdavis.edu, [106] dokumen.pub *Page quote "Across mainstream Keynesian and neo-Keynesian structural models (e.g., Wharton, DRI, MPS, BEA), sustained increases in nondefense government purchases showed strong, rapid real GNP impacts"*

c142 **SUPPORTED** QUANTITATIVE · confidence High · 2 sources, 2 pages opened

An expansionary open-market or reserve shock produced small impact multipliers in quarters 1–2 because of distributed transmission lags through financial institutions, interest rates, and investment demand.

[97] repec.dss.ucdavis.edu, [106] dokumen.pub *Page quote "In contrast to fiscal policy, an expansionary open-market/reserve shock exhibited small impact multipliers in quarters 1–2 due to distributed transmission lags through financial institutions, interest rates, and investment demand"*

c145 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

Fiscal policy exhibited superior short-run speed and potency as a countercyclical tool, but its effects weakened over longer horizons.

[105] one.oecd.org, [98] bostonfed.org *Page quote "Fiscal policy had superior short-run speed and potency, making it an effective countercyclical tool, but weakened over longer horizons"*

c189 **SUPPORTED** QUALITATIVE · confidence High · 2 sources, 2 pages opened

G. William Miller favored voluntary wage-price guidelines and fiscal belt-tightening over rapid credit contractions.

[143] fraser.stlouisfed.org, [148] digitalcommons.unl.edu *Page quote "Miller resisted aggressive tightening, favoring voluntary wage-price guidelines (announced by Carter in October 1978) and fiscal belt-tightening over rapid credit contractions"*

c67 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

Following CCC, UK broad money (£M3) growth accelerated to 27.9% in 1972 and 27.5% in 1973, after averaging 6.3% per annum from 1961 to 1971.

[57] historyandpolicy.org, [58] capx.co *Page quote "After averaging 6.3% per annum from 1961 to 1971, UK broad money growth accelerated to **27.9% in 1972** and **27.5% in 1973** (cumulative growth reached ~71% over 1971–1973)"*

c69 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

The monetary surge under CCC was magnified by round-tripping and the Heath government's reluctance to raise interest rates alongside its 1972 'dash for growth' fiscal stimulus.

[57] historyandpolicy.org, [60] en.wikipedia.org *Page quote "The surge was magnified by "round-tripping" (wholesale arbitrage enabled by wholesale certificate of deposit markets) and the Heath government's political unwillingness to lift interest rates promptly alongside the 1972 "dash for growth" fiscal stimulus"*

c71 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Alternative non-monetarist accounts attributed the UK inflation surge primarily to the October 1973 OPEC oil price shock, import costs after floating the pound in June 1972, and domestic wage pressure.

[58] capx.co, [65] academic.oup.com *Page quote "Alternative non-monetarist accounts placed primary blame on the October 1973 OPEC oil price shock, import costs after floating the pound in June 1972, and domestic wage pressure"*

c72 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

In December 1973, the Bank of England retreated from market mechanisms by introducing the Supplementary Special Deposit Scheme ('Corset') to reimpose quantitative penalties on bank deposit growth.

[55] en.wikipedia.org, [56] ideas.repec.org *Page quote "Deeming market mechanisms ineffective at arresting monetary growth without unpalatable rate hikes, the Bank was forced to retreat in December 1973 by introducing the **Supplementary Special Deposit Scheme (the "Corset")**, re-establishing quantitative penalties on bank deposit growth"*

c109 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

The IMF required quantitative performance criteria on Domestic Credit Expansion (DCE) to restrict domestic deficit financing and prevent balance-of-payments leakages.

[83] sumcraft.co.uk, [85] billmitchell.org *Page quote "The IMF required quantitative performance criteria on DCE rather than broad money supply alone, designed to restrict the domestic financing of deficits and prevent balance-of-payments leakages"*

c114 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

In September 1976 at the Labour conference, Prime Minister James Callaghan declared that governments could no longer spend their way out of a recession.

[81] chathamhouse.org, [85] billmitchell.org *Page quote "This institutionalized Prime Minister James Callaghan's September 1976 Labour conference declaration that governments could no longer "spend [their] way out of a recession"."*

c180 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Tax-based incomes policies (TIP) were never implemented as mandatory tax legislation in the United States or the United Kingdom, leaving no direct empirical data.

[140] philadelphiafed.org, [141] encyclopedia.com *Page quote "TIP schemes (proposed by Henry Wallich and Sidney Weintraub, 1971; Arthur Okun, 1977) were never enacted as mandatory tax legislation in the US or UK, so no direct empirical data existed"*

c181 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Econometric simulation models in 1978 indicated that without credible demand restraint, tax penalties or subsidies from TIP schemes would cause allocative inefficiencies rather than alter expectations.

[136] en.wikipedia.org, [140] philadelphiafed.org *Page quote "Econometric simulation models evaluated in Brookings Papers on Economic Activity (1978) indicated that without credible demand restraint, tax penalties or subsidies would create allocative inefficiencies rather than alter expectations"*

c27 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

Under Paul Volcker, the Federal Funds Rate spiked to 17.19% in 1980-Q2, dropped to 9.83% in 1980-Q3, peaked at 17.78% in 1981-Q3 with a monthly peak of 19.10% in June 1981, and declined to 9.07% by 1982-Q4.

[20] nber.org, [22] bankrate.com *Page quote "Under Paul Volcker, spiked to 17.19% (1980-Q2), dropped abruptly to 9.83% (1980-Q3), peaked at 17.78% (1981-Q3; monthly peak of 19.10% in June 1981), before declining to 9.07% by 1982-Q4"*

c60 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Clarida, Galí, and Gertler rely on retrospective, two-sided filtered/revised GDP and potential output data not available in the 1970s, whereas Orphanides uses unrevised real-time forecasts.

[13] users.nber.org, [53] aeaweb.org *Page quote "CGG rely on retrospective, two-sided filtered/revised GDP and potential output data not available in the 1970s. Orphanides uses unrevised real-time forecasts"*

c75 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

UK Retail Price Index (RPI) inflation peaked at 21.9% year-on-year in May 1980 before falling to 11.9% in 1981, 8.6% in 1982, and 4.6% in 1983.

[68] gceps.princeton.edu *Page quote "UK Retail Price Index (RPI) inflation peaked at 21.9% year-on-year in May 1980 (ONS series `CZBH`) before falling sharply to 11.9% in 1981, 8.6% in 1982, and 4.6% in 1983"*

[44] ons.gov.uk *Page quote "May 1980: **21.9%** (the peak of the second inflation shock under the early Thatcher administration)"*

c78 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Economists such as Willem Buiter and Marcus Miller, alongside the Bank of England, concluded UK disinflation was driven by extreme real exchange-rate appreciation and steep aggregate demand contraction rather than credible targeting of broad money.

[69] hansard.parliament.uk, [71] lordslibrary.parliament.uk *Page quote "Economists (e.g., Willem Buiter, Marcus Miller) and the Bank of England concluded disinflation was driven by extreme real exchange-rate appreciation (sterling effective exchange rate rose over 20% in 1979–1981) and steep aggregate demand contraction rather than credible targeting of broad money"*

c79 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

The sterling effective exchange rate rose over 20% between 1979 and 1981.

[69] hansard.parliament.uk, [71] lordslibrary.parliament.uk *Page quote “sterling effective exchange rate rose over 20% in 1979–1981”*

c91 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Contemporary econometric evidence in the 1970s did not support the claim that fiscal policy was systematically more effective than monetary policy, with empirical findings sharply divided by methodology and ideological camp.

[92] cbsl.gov.lk, [93] scispace.com *Page quote “Contemporary econometric evidence in the 1970s did **not** support the claim that fiscal policy was systematically more effective than monetary policy; rather, empirical findings were sharply divided by methodology and ideological camp”*

c149 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Under the Radcliffe doctrine, fiscal policy was seen as the primary driver of aggregate demand, supplemented in emergencies by direct quantitative credit rationing and hire-purchase controls.

[119] nber.org, [118] joseluisoreiro.com.br *Page quote “As a result, fiscal policy was viewed as the primary driver of aggregate demand, supplemented in emergencies by direct quantitative credit rationing and hire-purchase controls”*

c156 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

The Radcliffe Report argued aggregate spending depends on the economy's whole liquidity position, making control of narrow bank money or the money supply largely ineffective.

[117] en.wikipedia.org, [119] nber.org *Page quote “Instead, it argued aggregate spending depends on the "whole liquidity position" of the economy (paragraph 389)[2]. Because financial substitutes and non-bank financial intermediaries could rapidly expand credit, control of narrow bank money or the money supply was deemed largely ineffective”*

c158 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

The Full Employment and Balanced Growth Act of 1978 established numerical targets to reduce overall unemployment to 4% or less and to 3% or less for workers aged 20 and older by 1983.

[128] federalreservehistory.org, [129] library.cqpress.com *Page quote “The Act established explicit numerical targets for federal economic policy: reducing overall unemployment to ≤ 4% (and ≤ 3% for workers aged 20 and older) within five years (by 1983)”*

c159 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

Amendments to the Full Employment and Balanced Growth Act of 1978 added targets of 3% or less inflation by 1983 and 0% by 1988, while explicitly providing that inflation-reducing policies must not impede achieving employment targets.

[128] federalreservehistory.org, [129] library.cqpress.com *Page quote “While conservative amendments (sponsored by Sen. Orrin Hatch and others) added an inflation target of ≤ 3% by 1983 and 0% by 1988, the statute explicitly provided that policies reducing inflation must not impede achieving the employment targets”*

c161 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

The Full Employment and Balanced Growth Act of 1978 authorized discretionary federal fiscal programs, such as countercyclical public works, targeted public service employment, and regional job programs.

[129] library.cqpress.com, [131] eric.ed.gov *Page quote “It authorized discretionary federal fiscal programs—including countercyclical public works, targeted public service employment ("employer of last resort" provisions had been narrowed during negotiations but retained in principle), and regional job programs”*

c166 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Franco Modigliani's 1976 presidential address served as the definitive mainstream Keynesian counter-manifesto against Milton Friedman's monetarism.

[133] fraser.stlouisfed.org, [134] ideas.repec.org *Page quote “Franco Modigliani’s presidential address, "The Monetarist Controversy: Or, Should We Forsake Stabilization Policies?", served as the definitive mainstream Keynesian counter-manifesto against Milton Friedman’s monetarism”*

c192 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Due to a loss of market confidence after double-digit inflation and a run on the US dollar, Carter replaced Miller and appointed Paul Volcker on August 6, 1979.

[144] federalreservehistory.org, [151] presidency.ucsb.edu *Page quote “Loss of market confidence led Carter to replace Miller (moving him to Treasury) and appoint Paul Volcker on August 6, 1979”*

c44 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

Prior to 13 October 1972, the Bank of England's policy rate instrument was Bank Rate.

[36] bankofengland.co.uk *Page quote “Prior to 13 October 1972, the policy rate was Bank Rate”*

c45 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

On 13 October 1972, the Bank of England replaced Bank Rate with the Minimum Lending Rate (MLR).

[36] bankofengland.co.uk *Page quote “On 13 October 1972, it was replaced by the Minimum Lending Rate (MLR)”*

c73 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

In the March 1980 Budget, UK Chancellor Sir Geoffrey Howe introduced the Medium-Term Financial Strategy (MTFS) to lower inflation by simultaneously decelerating broad money (£M3) and curtailing the Public Sector Borrowing Requirement (PSBR).

[66] archive.margaretthatcher.org, [67] fmg.ac.uk *Page quote “Chancellor Sir Geoffrey Howe introduced the Medium-Term Financial Strategy (MTFS) to lower inflation by simultaneously decelerating broad money (£M3) and curtailing the Public Sector Borrowing Requirement (PSBR)”*

c100 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Large-scale structural Keynesian models found that monetary policy actions, such as changes in non-borrowed reserves, exerted sustained, cumulative impacts on output and nominal income.

[97] repec.dss.ucdavis.edu, [106] dokumen.pub *Page quote "Across the structural models (notably MPS and Wharton), monetary policy multipliers rose steadily over time, peaking between quarters 8 and 16, where monetary impulses rivaled or exceeded fiscal policy in cumulative real output and nominal GNP effects"*

c102 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

The metric for the UK Retail Price Index (RPI) is RPI All Items percentage change over 12 months, expressed in percent (%).

[44] ons.gov.uk *Page quote "Metric & Unit: RPI All Items percentage change over 12 months, expressed in percent (%)"*

c126 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

The NBER seminar findings on fiscal spending multipliers are considerably better supported empirically than the Andersen–Carlson monetarist claims.

[104] ecb.europa.eu, [114] dokumen.pub *Page quote "The NBER seminar findings are considerably better supported empirically"*

c144 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Fromm and Klein concluded that neither monetary nor fiscal policy was impotent.

[97] repec.dss.ucdavis.edu, [98] bostonfed.org *Page quote "Fromm and Klein concluded that neither policy was impotent"*

c164 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

The Humphrey-Hawkins Act established procedural compliance rather than binding legal subordination, allowing the Federal Reserve to retain discretionary control over policy instruments while reconciling money-supply targets with national employment goals.

[126] federalreserve.gov, [132] federalreserve.gov *Page quote "Consequently, Humphrey-Hawkins established procedural compliance (reporting targets) rather than binding legal subordination: the Fed was required to reconcile its money-supply targets with national employment goals, but it retained discretionary control over policy instruments"*

c1 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Nicholas Kaldor and Arthur Okun attributed 1970s stagflation to structural and supply-side institutional shocks, including trade union wage-bargaining power, commodity price shocks like the 1973 OPEC oil price quadrupling, and structural rigidities in customer markets and career labor markets.

[1] ideas.repec.org, [2] scribd.com *Page quote "Nicholas Kaldor (1970, 1982) and Arthur Okun (1975, 1981) attributed 1970s stagflation to structural and supply-side institutional shocks: wage-bargaining power of trade unions, commodity price shocks (1973 OPEC oil price quadripling), and structural rigidities in "customer markets" and "career labor markets""*

c28 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

US M1 growth hovered between 5% and 8% during 1970–1975, averaging 6.3%.

[23] eco3min.fr, [24] chegg.com *Page quote "Hovered between 5% and 8% during 1970–1975 (averaging 6.3%)"*

c29 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

During the Fed's reserves-targeting regime across 1979–1981, US M1 growth fluctuated between 4.5% and 9.0%, and reached 8.7% by 1982-Q4.

[23] eco3min.fr, [24] chegg.com *Page quote "fluctuated sharply between 4.5% and 9.0% across 1979–1981 during the Fed's reserves-targeting regime, and jumped to 8.7% by 1982-Q4"*

c30 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

US M2 growth ranged between 7.8% and 10.3% during the 1979–1982 Volcker disinflation period.

[23] eco3min.fr, [25] richmondfed.org *Page quote "ranged between 7.8% and 10.3% across the 1979–1982 Volcker disinflation period"*

c48 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

The Bank of England's Minimum Lending Rate was hiked from 12.00% to 14.00% in June 1979, and then reached a record 17.00% on 15 November 1979.

[40] brookings.edu *Page quote "hiked from 12.00% to 14.00% in June, then to a record 17.00% on 15 Nov"*

c49 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

In 1980, the Bank of England's year-end official rate stood at 14.00%, after being lowered to 16.00% in July and 14.00% in November.

[41] bankofengland.co.uk *Page quote "1980: 14.00% (lowered to 16.00% in July, 14.00% in Nov)"*

c66 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

Under CCC, authorities established a uniform 12.5% reserve asset ratio across all banks to rely on price mechanisms rather than credit rationing.

[55] en.wikipedia.org, [56] ideas.repec.org *Page quote "The authorities intended to rely on price mechanisms (interest rates and open-market operations) rather than rationing, establishing a uniform 12.5% reserve asset ratio across all banks"*

c68 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

A Treasury and Bank of England analysis estimated CCC increased the broad money supply by roughly 25% by shifting the £M3 money multiplier from approximately 4 to 5, peaking near 6.

[59] assets.publishing.service.gov.uk *Page quote "A later Treasury/Bank analysis (*The Monetary Base and the Money Multiplier in the UK*) estimated CCC increased the broad money supply by roughly 25% by shifting the £M3 money multiplier from approximately 4 to 5 (peaking near 6)"*

c80 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

In 1980–81, recession-driven automatic stabilizers caused the UK PSBR to overshoot targets, reaching £13.6 billion (~5.7% of GDP).

[72] hansard.parliament.uk, [73] cpes.org.uk *Page quote "In 1980–81, recession-driven automatic stabilizers caused the PSBR to overshoot targets, reaching £13.6 billion (~5.7% of GDP)"*

c121 **SUPPORTED** QUALITATIVE · confidence Medium · 2 sources, 2 pages opened

Andersen and Carlson estimated a single-equation reduced form directly regressing changes in output on distributed lags of money and high-employment expenditures.

[95] ideas.repec.org, [109] newyorkfed.org *Page quote "Andersen and Carlson estimated a single-equation reduced form directly regressing ΔY on distributed lags of money (ΔM) and high-employment expenditures (ΔE)"*

c152 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

The 'Corset' (Supplementary Special Deposits scheme) was introduced in December 1973 to penalize deposit growth without raising headline rates.

[122] lse.ac.uk *Page quote "the "Corset" (Supplementary Special Deposits scheme) was introduced in December 1973 to penalize deposit growth without lifting headline rates"*

c154 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

The 1976 IMF letter of intent introduced Domestic Credit Expansion ceilings.

[123] nuff.ox.ac.uk *Page quote "between the 1976 IMF letter of intent (introducing Domestic Credit Expansion ceilings)"*

c172 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

Modigliani maintained that discretionary policy historically moderated recessions and remained essential for counteracting real demand contractions and supply-side shocks such as the 1973–1974 OPEC oil embargo.

[133] fraser.stlouisfed.org *Page quote "Discretionary policy, he maintained, had historically moderated recessions and remained essential for counteracting real demand contractions and supply-side shocks (such as the 1973–1974 OPEC oil embargo)"*

c173 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

Modigliani conceded Friedman and Edmund Phelps's (1968) natural rate hypothesis that long-run trade-offs between inflation and unemployment do not exist.

[133] fraser.stlouisfed.org *Page quote "While conceding Friedman and Edmund Phelps's (1968) "natural rate hypothesis" that long-run trade-offs between inflation and unemployment do not exist"*

c174 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

Modigliani defended the short-run Phillips curve based on nominal wage stickiness and involuntary unemployment, arguing stabilization policy was needed for short-to-medium-run adjustment paths.

[133] fraser.stlouisfed.org *Page quote "Modigliani defended the short-run Phillips curve, citing nominal wage stickiness and involuntary unemployment. Stabilization policy was necessary to navigate protracted short-to-medium-run adjustment paths"*

c177 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

Robert J. Gordon estimated that Phase I and II of the Nixon wage-price controls temporarily lowered nonfarm inflation by 1.5 to 2.0 percentage points, but the Phillips curve did not shift favorably and expectations rebound effects appeared as controls lifted.

[138] brookings.edu, [139] brookings.edu *Page quote "Robert J. Gordon (1972, 1973 BPEA) estimated that Phase I and II temporarily reduced nonfarm inflation by 1.5 to 2.0 percentage points, but the Phillips curve did not shift favorably; expectations rebound effects materialized as controls lifted"*

c184 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

United States federal budget deficits reached $53.7 billion in FY1977 and $59.2 billion in FY1978.

[143] fraser.stlouisfed.org *Page quote "Federal budget deficits remained large: $53.7 billion in FY1977 and $59.2 billion in FY1978"*

c9 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

US CPI inflation reached 11.0% in 1974 and 9.1% in 1975.

[4] dallasfed.org *Page quote "US CPI inflation surged to 11.0% (1974) and 9.1% (1975)"*

c10 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

During the first oil shock, the US Fed repeatedly accommodated supply cost shifts while targeting non-borrowed reserves/Fed funds, leaving inflation high into the late 1970s.

[4] dallasfed.org *Page quote "the Fed targeted non-borrowed reserves/Fed funds but repeatedly accommodated supply cost shifts, leaving inflation high into the late 1970s"*

c50 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

The Minimum Lending Rate stood at 12.00% upon its abolition in August 1981, having been reduced to 12.00% in March 1981, while market clearing base rates reached 14.25% by late 1981.

[37] hansard.parliament.uk, [42] hansard.parliament.uk *Page quote "12.00% at abolition in Aug 1981 (cut to 12.00% in March 1981; market clearing base rates reached 14.25% by late 1981)"*

c53 **SUPPORTED** QUANTITATIVE · confidence Medium · 3 sources, 3 pages opened

In official UK budget debates tracked on a financial-year basis, the Public Sector Borrowing Requirement peaked in 1975/76 at around £10.2bn (or roughly 9.9% of GDP) and stood at around £8.7bn (or roughly 3.5% of GDP) in 1981/82.

[49] hansard.parliament.uk, [50] hansard.parliament.uk, [51] hansard.parliament.uk *Page quote "In official UK budget debates, PSBR was tracked on a financial-year basis: e.g., 1970/71: ~£0.8bn; 1975/76 peak: ~£10.2bn or ~9.9% of GDP; 1980/81: ~£12.5bn; 1981/82: ~£8.7bn or ~3.5% of GDP"*

c82 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

While the nominal budget deficit contracted significantly, the 1.5% PSBR target was not reached by 1983–84, though the stance established fiscal dominance over short-term cyclical stabilization.

[74] hansard.parliament.uk *Page quote "While the nominal budget deficit contracted significantly, the 1.5% target was not reached by 1983–84, though the contractionary stance established unprecedented fiscal dominance over short-term cyclical stabilization"*

c115 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

Denis Healey introduced an internal 12% £M3 target in July 1976.

[85] billmitchell.org *Page quote "While Healey had introduced an internal £M3 target (12%) in July 1976"*

c116 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

The 1976 IMF agreement externalized and enforced binding monetary-fiscal rules.

[83] sumcraft.co.uk *Page quote "the IMF agreement externalized and enforced binding monetary-fiscal rules"*

c132 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

The UK calendar-year average of 24.2% for 1975 averaged monthly rates that began at approximately 19.9% in January and peaked at 26.9% in August.

[44] ons.gov.uk, [46] iamkate.com *Page quote "averaging monthly rates that began at ~19.9% in January and peaked at 26.9% in August"*

c151 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

UK policymakers managed inflation through incomes policies and tax levers rather than interest-rate tightening, treating it as cost-push.

[121] cambridge.org *Page quote "UK policymakers treated inflation as cost-push (wage claims, import prices) rather than monetary, managing it via incomes policies and tax levers rather than interest-rate tightening"*

c153 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

Critics identified the Radcliffe consensus as directly responsible for permissive money growth that drove UK inflation to a year-on-year peak of 24.2% in 1975.

[121] cambridge.org *Page quote "Critics like David Laidler (1971, 1989) and Alan Walters (1970) identified the Radcliffe consensus as directly responsible for the permissive money growth driving UK inflation (peaking at 24.2% year-on-year in 1975)"*

c178 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

Alan Blinder and William Newton (1981) found that Nixon's controls lowered nonfood, nonenergy prices by 3–4% by February 1974, but subsequent post-control catch-up fully unwound the effect, leaving the price level 0–2% below baseline and inflation returning to double digits.

[137] ideas.repec.org *Page quote “Alan Blinder and William Newton (1981 AER) found controls reduced nonfood, nonenergy prices by 3–4% by February 1974, but subsequent post-control "catch-up" fully unwound the effect, leaving the price level 0–2% below baseline and inflation accelerating back to double digits”*

c186 **SUPPORTED** QUALITATIVE · confidence Medium · 1 source, 1 page opened

President Carter appointed G. William Miller to succeed Arthur Burns on March 8, 1978, aiming for a Federal Reserve chair who would avoid aggressive interest rate hikes.

[145] kjis.org *Page quote “Carter appointed G. William Miller to succeed Arthur Burns on March 8, 1978, seeking a chair who would avoid aggressive rate hikes that might stall growth”*

c188 **SUPPORTED** QUANTITATIVE · confidence Medium · 1 source, 1 page opened

Despite nominal policy rate hikes, ex-post real policy rates remained near zero or negative as CPI inflation rose above 11% by mid-1979.

[144] federalreservehistory.org *Page quote “Despite these nominal hikes, ex-post real policy rates remained near zero or negative as CPI inflation accelerated faster (surpassing 11% by mid-1979)”*

c191 **SUPPORTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

The Federal Reserve under Miller accommodated aggregate demand from 1977–1978 fiscal stimulus by allowing M1 money supply growth of around 8% in 1978 to avoid interest rate spikes.

[146] federalreserve.gov, [150] policyarchive.org *Page quote “Miller’s Fed accommodated this pressure by permitting rapid money supply expansion (M1 grew ~8% in 1978) to prevent spikes in interest rates”*

c24 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Orphanides and Williams (2008) show that avoiding the surge in inflation would have required either perfect structural knowledge or an output-gap-free rule, such as a first-difference or nominal income growth rule, rather than standard activist output stabilization.

[18] frbsf.org *Page quote “Orphanides and Williams (2008) show that avoiding the surge in inflation would have required either perfect structural knowledge or an output-gap-free rule (such as a first-difference or nominal income growth rule) rather than standard activist output stabilization”*

c42 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Arthur Burns believed inflation was cost-push rather than monetary, actively advocated for Nixon's August 15, 1971 wage-and-price controls, and viewed monetary stimulus as safe while controls were legally active.

[34] real-dev.stlouisfed.org.s3.amazonaws.com *Page quote "Burns believed inflation was cost-push rather than monetary, actively advocated for Nixon's August 15, 1971 wage-and-price controls to contain price growth, and viewed monetary stimulus as safe while controls were legally active"*

c52 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

On a calendar-year basis, UK Public Sector Net Borrowing (ex-banks) rose from a net surplus of -£755m in 1970 to £10,041m in 1980, before falling to £8,825m in 1981.

[48] ons.gov.uk *Page quote "Public Sector Net Borrowing (PSNB ex-banks, calendar-year basis; ONS Series J5II, current prices): * 1970: -£755m (net surplus) * 1971: £255m * 1972: £1,493m * 1973: £2,740m * 1974: £4,310m * 1975: £7,211m * 1976: £7,961m * 1977: £5,836m * 1978: £8,334m * 1979: £9,364m * 1980: £10,041m * 1981: £8,825m"*

c61 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Clarida, Galí, and Gertler attribute low pre-1979 policy rates to a flawed monetary doctrine where beta is less than 1.

[8] faculty.wcas.northwestern.edu *Page quote "CGG attribute low pre-1979 policy rates to a flawed monetary doctrine ($\beta < 1$)"*

c74 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

The MTFS established target ranges for annual £M3 growth of 7–11% in 1980–81, 6–10% in 1981–82, 5–9% in 1982–83, and 4–8% in 1983–84.

[66] archive.margaretthatcher.org *Page quote "Target ranges for annual £M3 growth: 7–11% (1980–81), 6–10% (1981–82), 5–9% (1982–83), and 4–8% (1983–84)"*

c76 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Bank of England and Treasury analyses show that UK disinflation occurred despite a complete failure of the monetary targets.

[69] hansard.parliament.uk *Page quote "Bank of England and Treasury analyses show disinflation occurred despite a complete failure of the monetary targets"*

c104 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

In ONS quarterly data, the UK RPI quarterly peak was 26.6% in Q3 1975.

[44] ons.gov.uk *Page quote "Quarterly Peak: 26.6% in Q3 1975 (ONS series CZBH quarterly frequency)"*

c123 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Andersen and Carlson primarily tracked nominal GNP multipliers, whereas NBER seminar comparisons focused on real expenditure multipliers.

[96] scispace.com *Page quote "Andersen–Carlson primarily tracked *nominal* GNP multipliers; NBER seminar comparisons focused on *real* expenditure multipliers"*

c133 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

The May 1980 UK inflation peak of 21.9% followed the 1979 oil crisis and the June 1979 VAT hike from 8%/12.5% to 15%.

[44] ons.gov.uk *Page quote “It represents the monthly peak of the *second* inflation shock following the 1979 oil crisis and the June 1979 VAT hike (from 8%/12.5% to 15%), not the 1970s peak”*

c134 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

All the cited UK inflation figures are officially supported by ONS data, with differences stemming from conflating monthly peaks with annual averages across distinct episodes.

[44] ons.gov.uk *Page quote “All figures are officially supported by ONS data; the conflict stems from conflating monthly peaks with annual averages across distinct inflationary episodes”*

c148 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

The Radcliffe Report argued that conventional monetary policy such as Bank Rate adjustments was slow, uncertain, and weak on its own.

[118] joseluisoreiro.com.br *Page quote “The report concluded that conventional monetary policy (Bank Rate adjustments) was slow, uncertain, and weak on its own (paragraph 514: "monetary measures cannot alone be relied upon to keep in nice balance an economy")”*

c167 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Both Keynesians and monetarists agreed that money matters, rather than disputing theoretical money neutrality.

[135] frbsf.org *Page quote “Modigliani asserted that the dispute between Keynesians and monetarists was not about theoretical money neutrality or whether "money matters"—both sides agreed it did”*

c168 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Modigliani framed the Keynesian-monetarist divide as empirical, noting monetarists viewed the private economy as inherently stable and requiring fixed monetary growth rules, while Keynesians viewed it as subject to substantial instability requiring active stabilization.

[135] frbsf.org *Page quote “Instead, he framed the divide as entirely empirical: monetarists believed the private economy was inherently stable and self-correcting (requiring fixed monetary growth rules), whereas Keynesians held that private enterprise economies are subject to substantial instability and require active monetary and fiscal stabilization”*

c162 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

Under Section 108 of the Full Employment and Balanced Growth Act, the Federal Reserve Board of Governors was mandated to submit semiannual reports by February 20 and July 20 and testify before congressional banking committees detailing money and credit aggregate growth targets.

[126] federalreserve.gov *Page quote “Required the Fed Board of Governors to submit semiannual written reports (by February 20 and July 20) and testify before the Senate and House Banking Committees detailing money and credit aggregate growth targets and showing how they aligned with the President's economic targets”*

c176 **SUPPORTED** QUALITATIVE · confidence Low · 2 sources, 2 pages opened

Econometric evaluations determined that Nixon's wage-price controls (1971–1974) suppressed recorded price indexes initially but did not reset underlying expectations.

[138] brookings.edu, [139] brookings.edu *Page quote “Econometric evaluations found that while controls suppressed recorded price indexes initially, they did not reset underlying expectations”*

c2 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Nicholas Kaldor argued that money is endogenous and credit money expands to accommodate prior increases in nominal wage contracts and production costs, making money growth a symptom rather than the root cause of inflation.

[2] scribd.com *Page quote “Kaldor argued that money is endogenous—credit money expands to accommodate prior increases in nominal wage contracts and production costs; therefore, money growth is a symptom, not the root cause, of inflation”*

c3 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Milton Friedman and Karl Brunner asserted that inflation is always and everywhere a monetary phenomenon driven by excessive growth in the money stock relative to potential output.

[3] en.wikipedia.org *Page quote “Milton Friedman (1968, 1970) and Karl Brunner (1968, 1970) insisted inflation is "always and everywhere a monetary phenomenon" driven by excessive growth in the money stock (e.g., M1/M2) relative to potential output”*

c4 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Neo-Keynesians viewed statutory wage/price controls or tax-based incomes policies as necessary to halt the cost-push wage-price spiral without causing severe recessions.

[2] scribd.com *Page quote “Neo-Keynesians viewed statutory wage/price controls or tax-based incomes policies (Okun's 1977 TIP proposal: a reward/penalty tax on firms exceeding a 6% wage guideline) as necessary to halt the cost-push wage-price spiral without causing severe recessions”*

c5 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

Arthur Okun's 1977 TIP proposal involved a reward/penalty tax on firms that exceeded a 6% wage guideline.

[2] scribd.com *Page quote “Okun's 1977 TIP proposal: a reward/penalty tax on firms exceeding a 6% wage guideline”*

c6 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Monetarists advocated strict, predictable growth-rate targets for monetary aggregates to anchor expectations, asserting that central banks control the nominal money supply through the monetary base.

[3] en.wikipedia.org *Page quote “Monetarists advocated strict, predictable growth-rate targets for monetary aggregates (such as Friedman’s 3% to 5% constant money growth rule) to anchor expectations, asserting central banks control nominal money supply via the monetary base”*

c7 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

Milton Friedman advocated a constant money growth rule of 3% to 5%.

[3] en.wikipedia.org *Page quote "Friedman's 3% to 5% constant money growth rule"*

c8 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

Nicholas Kaldor argued that targeting monetary aggregates was technically impossible and economically destructive, as restricting bank reserves would cause interest rates to skyrocket, crush investment, and generate mass unemployment without directly solving wage-push conflict.

[2] scribd.com *Page quote "Kaldor countered that targeting monetary aggregates was technically impossible and economically destructive: restricting bank reserves would not stop wage inflation but would skyrocket interest rates, crush investment, and generate mass unemployment without directly solving wage-push conflict"*

c34 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

The US federal budget deficit as a percentage of GDP widened to -3.16% in FY1975 and -3.94% in FY1976.

[28] voronoiapp.com *Page quote "Jumped to -3.16% (1975) and -3.94% (1976)"*

c81 **SUPPORTED** QUANTITATIVE · confidence Low · 2 sources, 2 pages opened

In March 1981, Chancellor Howe executed a procyclical fiscal tightening by raising indirect taxes and freezing income tax thresholds to raise £4 billion, reducing the PSBR/GDP ratio to ~3.3–3.5% in 1981–82 (£8.6 billion) and holding it near 3.3–3.5% through 1983–84.

[72] hansard.parliament.uk, [74] hansard.parliament.uk *Page quote "Howe executed an explicitly procyclical fiscal tightening in March 1981—raising indirect taxes and freezing income tax thresholds to raise £4 billion—reducing the PSBR/GDP ratio to ~3.3–3.5% in 1981–82 (£8.6 billion) and holding it near 3.3–3.5% through 1983–84"*

c118 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

In Andersen and Carlson's 1970 reduced-form St. Louis equation, a sustained $1 increase in high-employment government expenditures produces an initial nominal output impact of $0.40 in t and peaks at $0.54 in t+1.

[95] ideas.repec.org *Page quote "In their reduced-form St. Louis equation, a sustained $1 increase in high-employment government expenditures generates an initial nominal output impact ($0.40 in t, peaking at $0.54 in $t+1$)"*

c122 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

In the St. Louis model, debt-financed deficits rapidly pushed up nominal interest rates and directly diverted financing from private expenditure.

[110] eco-consultas.aulavirtual.unc.edu.ar *Page quote "In the St. Louis model, debt-financed deficits rapidly pushed up nominal interest rates and directly diverted financing from private expenditure"*

c147 **SUPPORTED** QUALITATIVE · confidence Low · 1 source, 1 page opened

The Radcliffe Committee concluded that the money stock was not the critical economic variable.

[117] en.wikipedia.org *Page quote "The Committee on the Working of the Monetary System (chaired by Lord Radcliffe, with economists Richard Sayers and Alec Cairncross) concluded that the money stock (M) was not the critical economic variable"*

c163 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

Earlier legislative proposals by Senator Hubert Humphrey to permit the President to issue monetary directives requiring a 15-day Federal Reserve response failed.

[125] federalreservehistory.org *Page quote "Earlier proposals by Sen. Hubert Humphrey would have allowed the President to issue monetary directives requiring a 15-day Fed response, but these failed"*

c183 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

On May 13, 1977, President Jimmy Carter signed the Economic Stimulus Appropriations Act of 1977, providing $20.1 billion across FY1977–1978 to boost public works and CETA jobs.

[142] en.wikipedia.org *Page quote "On May 13, 1977, President Jimmy Carter signed the Economic Stimulus Appropriations Act of 1977 ($20.1 billion across FY1977–1978) to target unemployment, boosting public works and CETA jobs"*

c99 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

Dynamic simulations of large-scale structural Keynesian models showed government expenditure multipliers eroding significantly after 12 to 16 quarters due to price adjustment and crowding out via rising nominal interest rates.

[98] bostonfed.org *Page quote "In the medium-to-long term (beyond 10–12 quarters), real fiscal multipliers decayed substantially in most structural models as rising prices and higher interest rates induced financial crowding out, often falling below 1.0 by years 4–5"*

c130 **SUPPORTED** QUANTITATIVE · confidence Low · 1 source, 1 page opened

The UK RPI annual calendar-year average inflation rate was 18.0% in 1980, 11.9% in 1981, 8.6% in 1982, and 4.6% in 1983.

[44] ons.gov.uk *Page quote "Calendar years 1980–1983: **18.0%** (1980), **11.9%** (1981), **8.6%** (1982), and **4.6%** (1983)"*

Contested (4)

c23 **CONTESTED** QUALITATIVE · confidence High · 3 sources, 3 pages opened

Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented 1970s inflation.

[16] federalreserve.gov, [17] rbnz.govt.nz *Page quote "Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would *not* have prevented 1970s inflation"*

[15] fraser.stlouisfed.org *Page quote "simulating an output-gap-dependent Taylor rule in real time produces nominal interest rate paths nearly identical to the actual, overly loose historical policy, demonstrating it would not have prevented the inflation"*

c19 **CONTESTED** QUANTITATIVE · confidence Medium · 5 sources, 5 pages opened

Counterfactual analysis by Clarida, Galí, and Gertler suggests that had the Fed committed to a systematic post-1979 Taylor rule with an inflation response coefficient of approximately 2.15 and an output response of approximately 0.93, the Great Inflation would have been averted.

[5] philadelphiafed.org, [7] federalreserve.gov, [9] federalreserve.gov *Page quote "Under their counterfactual analysis, had the Fed committed to a systematic post-1979 Taylor rule ($\beta \approx 2.15$, output response $\gamma \approx 0.93$), the Great Inflation would have been averted, inflation expectations would have remained anchored, and the massive volatility in both output and inflation between 1971 and 1979 would have been substantially avoided"*

[10] piie.com, [8] faculty.wcas.northwestern.edu *Page quote "Their New Keynesian counterfactual implies that committing to the post-1979 rule ($\beta=2.15, \gamma=0.93$) would have anchored expectations, avoided indeterminacy/sunspot fluctuations, and averted the 1970s Great Inflation"*

c98 **CONTESTED** QUANTITATIVE · confidence Medium · 2 sources, 2 pages opened

Large-scale structural Keynesian models evaluated in the 1973–1975 NBER seminar estimated non-accommodated government expenditure multipliers peaking between 1.5 and 2.8 over 4 to 8 quarters.

[104] ecb.europa.eu *Page quote "Comparing 11 large-scale structural models (including Wharton, MPS, DRI, and Brookings) under non-accommodated monetary policy, real government spending multipliers peaked between 1.5 and 2.8 across quarters 4 to 8 (averaging ~1.7 to 2.2) before gradual long-run decay"*

[105] one.oecd.org *Page quote "Average real fiscal multipliers peaked in quarters 3–6 between 1.4 and 2.8 (with short-run impact multipliers typically around 1.1 to 1.4)"*

c93 **CONTESTED** QUANTITATIVE · confidence Low · 3 sources, 3 pages opened

Andersen and Carlson found that government spending had an initial positive impact on output, but cumulative spending coefficients became statistically indistinguishable from zero or negative after 4 to 5 quarters because of private sector crowding out.

[95] ideas.repec.org *Page quote "cumulative impacts drop to -0.05 by quarter 4 and zero by quarter 5, reflecting complete crowding out"*

[97] repec.dss.ucdavis.edu, [98] bostonfed.org *Page quote "The FRB St. Louis (Andersen-Jordan) model diverged sharply: its real fiscal expenditure multiplier was roughly zero after 4 quarters, exhibiting 100% crowding out within one year"*

Unsupported (9)

c11 **UNSUPPORTED** QUALITATIVE · confidence Low · no sources

In the UK, M3 exploded following the 1971 Competition and Credit Control.

No source recorded for this claim. Treat it as unverified.

c13 **UNSUPPORTED** QUANTITATIVE · confidence Low · no sources

US CPI inflation reached 13.5% in 1980.

No source recorded for this claim. Treat it as unverified.

c14 **UNSUPPORTED** QUANTITATIVE · confidence Low · no sources

US disinflation succeeded only after Paul Volcker adopted non-borrowed reserve targeting in October 1979, which drove the Fed funds rate above 20% in 1981.

No source recorded for this claim. Treat it as unverified.

c15 **UNSUPPORTED** QUANTITATIVE · confidence Low · no sources

UK CPI inflation reached 18.0% in 1980.

No source recorded for this claim. Treat it as unverified.

c16 **UNSUPPORTED** QUANTITATIVE · confidence Low · no sources

The Bank of England's post-1976 £M3 targeting and 1980 Medium-Term Financial Strategy lowered inflation, requiring base lending rates up to 17% in late 1979.

No source recorded for this claim. Treat it as unverified.

c97 **UNSUPPORTED** QUANTITATIVE · confidence Low · no sources

A major 1973–1975 NBER model comparison seminar organized by Gary Fromm and Lawrence Klein evaluated major US models, including the MIT-Penn-SSRC model, Wharton Mark III, and DRI.

No source recorded for this claim. Treat it as unverified.

c170 **UNSUPPORTED** QUALITATIVE · confidence Low · no sources

Modigliani argued that fixing money growth while velocity, money demand, and external aggregate demand fluctuated would worsen cyclical swings instead of dampening them.

No source recorded for this claim. Treat it as unverified.

c171 **UNSUPPORTED** QUALITATIVE · confidence Low · no sources

Using the MIT-Penn-SSRC (MPS) econometric model, Modigliani demonstrated that monetary and fiscal policy exerted predictable, powerful short-run effects on output and employment.

No source recorded for this claim. Treat it as unverified.

c179 **UNSUPPORTED** QUALITATIVE · confidence Low · no sources

Econometric assessments of the UK Heath statutory policy and Wilson/Callaghan 'Social Contract' found dummy-variable shifts in wage equations were almost entirely offset by large post-policy wage surges, concluding policy announcements did not durably shift private-sector expectations downwards.

No source recorded for this claim. Treat it as unverified.

Conflicts and how they resolved

Conflict 1 **OPEN** claims c19, c23

Clarida, Galí, and Gertler argue that adopting a systematic Taylor rule would have averted the Great Inflation, whereas Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented it due to real-time mismeasurement.

c19: Counterfactual analysis by Clarida, Galí, and Gertler suggests that had the Fed committed to a systematic post-1979 Taylor rule with an inflation response coeff...

c23: Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented 1970s inflation.

Conflict 2 **RESOLVED** claims c51, c70, c75

The apparent discrepancy among 24.2% (1975 calendar-year average), 26.9% (August 1975 monthly peak), and 21.9% (May 1980 second-shock peak) is reconciled by ONS Series CZBH data distinguishing monthly peaks from annual calendar averages across the two shocks (c101–c107, c127–c136).

c51: The UK annual Retail Prices Index (RPI) inflation rate reached a series peak of 24.2% in 1975.

c70: Monetarists including Milton Friedman argued the CCC-induced monetary explosion was the primary cause of the subsequent UK inflation surge that peaked at 26.9% ...

c75: UK Retail Price Index (RPI) inflation peaked at 21.9% year-on-year in May 1980 before falling to 11.9% in 1981, 8.6% in 1982, and 4.6% in 1983.

Conflict 3 **OPEN** claims c93, c98

Andersen and Carlson's monetarist St. Louis reduced-form model found fiscal multipliers faded to zero within 4-5 quarters due to crowding out, contradicting Keynesian structural models in the NBER comparison seminar that found peak expenditure multipliers between 1.5 and 2.8.

c93: Andersen and Carlson found that government spending had an initial positive impact on output, but cumulative spending coefficients became statistically indistin...

c98: Large-scale structural Keynesian models evaluated in the 1973–1975 NBER seminar estimated non-accommodated government expenditure multipliers peaking between 1....

Verifier results

163 claims reached the verifier. 150 were kept as supported, 4 as contested, and 9 were dropped because no cited page backed them.

Citation checks: total 300, page match 81, page mismatch 52, unfetchable 167, local document 0.

Dropped claims

c11 In the UK, M3 exploded following the 1971 Competition and Credit Control.

c13 US CPI inflation reached 13.5% in 1980.

c14 US disinflation succeeded only after Paul Volcker adopted non-borrowed reserve targeting in October 1979, which drove the Fed funds rate above 20% in 1981.

c15 UK CPI inflation reached 18.0% in 1980.

c16 The Bank of England's post-1976 £M3 targeting and 1980 Medium-Term Financial Strategy lowered inflation, requiring base lending rates up to 17% in late 1979.

c97 A major 1973–1975 NBER model comparison seminar organized by Gary Fromm and Lawrence Klein evaluated major US models, including the MIT-Penn-SSRC model, Wharton Mark III, and DRI.

c170 Modigliani argued that fixing money growth while velocity, money demand, and external aggregate demand fluctuated would worsen cyclical swings instead of dampening them.

c171 Using the MIT-Penn-SSRC (MPS) econometric model, Modigliani demonstrated that monetary and fiscal policy exerted predictable, powerful short-run effects on output and employment.

c179 Econometric assessments of the UK Heath statutory policy and Wilson/Callaghan 'Social Contract' found dummy-variable shifts in wage equations were almost entirely offset by large post-policy wage surges, concluding policy announcements did not durably shift private-sector expectations downwards.

Assumptions and uncertainty

Assumptions the agent made

- Scope assumed. US and UK macroeconomic policy debate and outcomes from 1970 to 1982.

What the agent flagged

- Unresolved disagreement: Clarida, Galí, and Gertler argue that adopting a systematic Taylor rule would have averted the Great Inflation, whereas Orphanides concludes that applying an output-gap-dependent Taylor rule in real time would not have prevented it due to real-time mismeasurement.
- Unresolved disagreement: Andersen and Carlson's monetarist St. Louis reduced-form model found fiscal multipliers faded to zero within 4-5 quarters due to crowding out, contradicting Keynesian structural models in the NBER comparison seminar that found peak expenditure multipliers between 1.5 and 2.8.
- Not established: Was there empirical evidence in the 1970s that fiscal policy specifically could control or reduce inflation better than monetary policy?
- Not established: What econometric evidence from 1970-1982 evaluated whether the UK Social Contract or statutory incomes policies permanently shifted wage bargaining parameters?
- Not established: Did contemporary 1970s economic literature establish whether fine-tuning fiscal policy destabilized rather than stabilized output relative to monetary rules?
- Not established: How did the 1978 Humphrey-Hawkins Act implementation influence Federal Reserve monetary targets and FOMC policy actions from 1978 to 1982?
- Not established: What empirical assessments exist on G. William Miller's tenure as Fed Chairman regarding monetary accommodation of Carter's 1977-1978 fiscal policy?

- Not established: What were the empirical macroeconomic effects and design details of Arthur Okun's Tax-Based Incomes Policy (TIP) proposals analyzed in 1977-1978 Brookings Papers?
- The run stopped after 3 follow-up rounds, a fixed cap.
- 9 candidate claims were left out because no source or passage backed them.
- 167 of 300 citations point to pages that could not be opened for checking (paywall, bot block or non-text file); they rest on the search engine's grounding alone.
- 52 citations were opened, but a rough text match did not find the claim's figures or key terms on the page (a flag to check by hand, not proof the claim is wrong).
- 57 of 154 kept claims rest on a single source.

What the ledger shows

- 9 of 163 claims have no supporting source and are listed as unverified.
- 4 claims are contested: sources disagree or the evidence points both ways.
- 51 supported claims rest on a single source.
- 32 claims that are not marked unsupported still carry confidence below 50%.
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